# Nephrocare Health Services Ltd (NephroPlus)

Concall Tracker, Q1 2027 update | Report date: 6 Nov 2026 | Screener ticker: NEPHROPLUS | Builds on the Q4-2026 report

NephroPlus runs dialysis clinics. Dialysis does the job of failed kidneys by cleaning the blood, and patients need it about three times a week for life, so demand is steady and repeat. It runs clinics inside partner hospitals (sharing revenue), its own standalone clinics, and government partnership (PPP) clinics, in India, the Philippines, Uzbekistan, Nepal and now Saudi Arabia. It listed on the stock market in December 2025.

## 1. Snapshot

| Measure | Value | Plain-English read |
|---|---|---|
| Market value | ₹6,047 cr | What the whole company is worth on the stock market, a bit lower than in July. |
| Share price (52-week range) | ₹602 (₹445 to ₹782) | Sitting roughly in the middle of its range since listing. |
| Q1 FY27 revenue (consolidated) | ₹282 cr | Sales for Apr-Jun 2026, up 23.7% on a year ago. Faster than the 15-20% yearly growth management guides to. |
| Q1 FY27 adjusted operating margin | 23.1% | About ₹23 of operating profit on every ₹100 of sales (before ESOP and Saudi start-up costs), up from 21.9% a year ago. |
| Q1 FY27 adjusted net profit | ₹37 cr | Profit after tax, adding back staff-option and Saudi costs, up about 42%. |
| Return on capital (adjusted, annualised) | 21% | Earns about ₹21 a year on every ₹100 tied up in the business. Management's main yardstick. |
| Network utilisation | 74% | Machines are busy about three-quarters of the time; clinics can't safely run above ~85%. |

Screener's tables are standalone (India company only, Q1 FY27 sales ₹170 cr) and its P/E and ROCE are distorted by a one-off pre-IPO finance charge. Management reports consolidated numbers, used here.

## 2. Concall coverage

| Quarter | Call date | Transcript read? |
|---|---|---|
| Q3 FY26 (maiden call) | 11 Feb 2026 | Carried forward from the Q4-2026 report |
| Q4 FY26 (prior boundary) | 20 May 2026 | Read in the Q4-2026 report |
| **Q1 FY27 ★** | **12 Aug 2026** | **Newly deep-read in full** |

Only the Q1 FY27 call was read in full this time. Including the earlier two, that's just three calls since listing, so the consistency read is still short.

## ★ Latest concall highlights - Q1 FY27 (call held 12 Aug 2026)

- **Good quarter.** Revenue ₹282 cr (+23.7%), adjusted operating profit ₹65 cr (+31%), adjusted profit ₹37 cr (+42%). Active patients up 13% to 38,262 and treatments up 13%. Plain read: growth came from more patients plus a higher price per session.
- **Overseas keeps rising.** International is now about 45% of revenue (42% for FY26). Revenue per treatment rose 9% to ₹2,733. The Philippines crossed 50 clinics after seven small acquisitions.
- **Saudi clinic opened, tender still far off.** The first Riyadh clinic started in July and home dialysis began too. But the government tender has not opened; management now says three to four quarters before any benefit, and admits it may not win.
- **Guidance repeated:** 15-20% yearly revenue growth, now framed over three to five years. 26 clinics added, network at 550 clinics in 357 cities. A Kazakhstan subsidiary was set up to study that market.
- **Cash collection better.** Days to collect from payers fell to 101 from 121 a year ago.

## Business mix & capacity

**Domestic vs overseas:** about 55% India / 45% international (Q1 FY27), up from ~30% international a year and a half ago. Plain read: close to half of sales now come from higher-priced overseas markets.

**Capacity utilisation:** 74% at network level. Each machine can do only three sessions a day and clinics keep spare room for emergencies, so growth comes from adding clinics (40-50 a year in India, 10-15 in the Philippines, a new country every 12-18 months).

## ★ Since our last report

Builds on the Q4-2026 report (boundary call 20 May 2026). Prior verdicts: **trigger YES**, **consistency MAYBE** (leaning positive).

| Prior read | What we said then | What the new call shows | Movement |
|---|---|---|---|
| Earning trigger | Overseas mix lifting price and margin; steady clinic roll-out | Overseas 45%, RPT +9%, margin +1.2 pts, profit +42% | Confirmed |
| Consistency | Two calls, nothing to fault, too short a record | Third call: same guidance, numbers ahead of it | Improving |
| 15-20% growth guidance | Repeated both calls | Repeated again; Q1 grew 23.7% | On-track |
| Saudi first clinic "within two months" | Slow, still losing ~₹3 cr a quarter | Clinic opened in July as promised | Confirmed |
| Saudi government tender | Early stage, no revenue | Still waiting; now "three to four quarters" away and not certain | Slipping |
| One-off bad-debt provision | ₹10 cr in Q4, framed as conservative | Now a steady model-based charge of 2-2.5% of revenue each quarter; collection days improved | On-track |

**Verdict change this quarter:** both unchanged. Trigger YES is better backed. Consistency stays MAYBE only because three calls is still a thin record; the Saudi tender timeline has now slipped twice.

## ★ 3. Earning-trigger thesis

The engine hasn't changed. NephroPlus learned to run dialysis at the world's lowest price in India (about $22 a session) and now takes that lean model to markets that pay three to five times more, like the Philippines and Uzbekistan. The same cost base at higher prices lifts margins. Underneath sits a steady India roll-out of 40-50 clinics a year into a market where about four-fifths of dialysis is still run by hospitals that would rather hand it off. This quarter, cheaper consumables bought through its global buying platform added to margin too. The big swing factor, a Saudi tender win, is a bet that could pay off or simply never happen.

| Trigger | What management said | Evidence so far | Time horizon | Strength | Change since last report |
|---|---|---|---|---|---|
| Overseas mix lifting price and margin | Overseas share will keep inching up; new country every 12-18 months | 45% overseas; RPT +9%; margin 23.1% | Now, multi-year | Strong | ↑ improving |
| India and Philippines clinic roll-out | 40-50 India, 10-15 Philippines a year | 26 clinics added in one quarter; 17 new Indian cities | Ongoing | Strong | unchanged |
| Scale benefits (cheaper buying, lean costs) | Profit grows faster than sales | Material costs down 1.75 pts of revenue; profit +42% on sales +24% | Ongoing | Strong | unchanged |
| Saudi tender / new countries | Binary: win a cluster or leave | One showcase clinic; tender not yet issued; Kazakhstan being studied | FY28+ | Unproven | ↓ timeline pushed out |

## 4. Management consistency scorecard

| Period / topic | What was promised | What actually happened | Verdict |
|---|---|---|---|
| Growth guidance (Feb, May, Aug 2026) | 15-20% a year | FY26 +32%; Q1 FY27 +23.7% | Delivered |
| Margins | Stay around 24% adjusted | 23.8% FY26; 23.1% Q1, up on last year | Delivered |
| Overseas share | "Slowly inching up" | 32% → 42% → 45% | Delivered |
| Saudi first clinic | Within two months (May) | Opened July | Delivered |
| Saudi revenue | "A couple of quarters" (Feb) | Now three to four quarters away, may not win | Slipped |
| ROCE discipline | Only ROCE-accretive projects | Dropped two loss-making Uttarakhand PPP clinics; ROCE 21% | Delivered |

**Narrative drift:** none so far. Same three-lever story, same guidance, same "judge us at group level" line on every call. Management refuses to give country-level splits, which makes it harder to check the India core on its own. They were frank about weak spots: an AI project to predict patient emergencies failed its first attempt, and Saudi is described as a win-or-leave bet. The repeat slippage on the Saudi tender is the one thing to keep an eye on, though it's a small part of the business today.

## 5. Bottom line - two verdicts

### Durable earning trigger? → YES

vs last quarter: unchanged

The quarter added more proof: growth above guidance, overseas share up again, margins wider and profit growing almost twice as fast as sales. It doesn't rely on the Saudi bet. The risks are slow government payments, which is a feature of this business, and possible price pressure in India, where hikes come only once in many years.

## Management consistent? → MAYBE vs last quarter: unchanged (leaning positive)

Three calls, three times the same guidance, and the numbers beat it each time. The Saudi clinic opened when they said. But the Saudi tender has slipped twice and three calls is still too short a record to call it a Yes. Another year of this and it should be.

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Sources: NephroPlus Q1 FY27 earnings-call transcript (12 Aug 2026) read in full; Feb 2026 and May 2026 calls carried forward from the Q4-2026 Concall Tracker report; Screener.in financials (standalone; consolidated figures taken from the call). This is not investment advice. Do your own due diligence.